KIIT SAP Capstone Project

Order-to-Cash (O2C) — Complete Sales Cycle (SAP SD)

Project Blueprint and Process Report

Student Name	Sampurna Sen
Roll Number	2305329
Program / Batch	B.Tech CSE - SAP O2C
Project Title	Order-to-Cash (O2C) Complete Sales Cycle in SAP SD

Submitted in accordance with the capstone project instructions

Abstract: This project demonstrates the complete execution of the Order-to-Cash (O2C) cycle in SAP S/4HANA for a fictitious wholesale distribution company. The implementation covers master data configuration, pricing setup, sales order processing, outbound logistics, goods issue, billing, and invoice output. The objective is to showcase how SAP integrates Sales (SD), Inventory (MM), and Finance (FI) into a unified, automated business process ensuring accuracy, traceability, and operational efficiency across the enterprise.

1. Problem Statement and Project Objective

A distribution business needs a structured process to accept customer orders, confirm quantities, deliver material on time, issue invoices accurately, and maintain document traceability across the sales cycle. Manual handling of these activities often causes errors in order capture, delivery execution, and billing control.

The objective of this project is to configure and demonstrate the complete Order-to-Cash process in SAP SD, starting with master data and ending with invoice generation and output handling, while highlighting cross-module integration and business impact.

2. Fictitious Company Blueprint

Component	Code	Description
Company Code	N100	Nova Retail Distributors Pvt. Ltd.
Sales Organization	N100	Domestic sales organization
Distribution Channel	WH	Wholesale channel
Division	FG	Finished goods
Plant	NPL1	Central warehouse plant
Shipping Point	NSP1	Main dispatch point

3. Solution Features and Process Scope

- Customer master and material master maintained for sales processing.
- Pricing condition maintained for the material so that order value is calculated automatically.
- Standard sales order created for the customer with quantity and requested delivery date.
- Outbound delivery generated from the order and prepared for dispatch execution.
- Goods issue concept applied as the logistics handover step from warehouse to customer process.
- Billing document created from the completed fulfillment process and invoice output displayed.

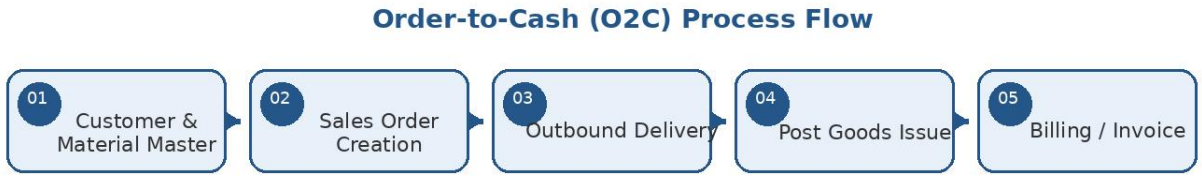
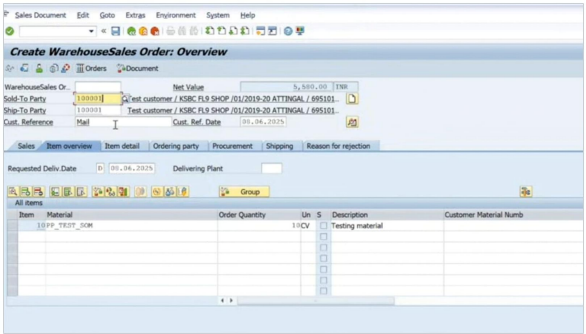


Figure 1. End-to-end O2C process flow used in the project.

4. Step-by-Step Execution

4.1 Master Data Preparation

The process begins with maintaining the essential master data. The sold-to/ship-to customer master provides partner details and sales area data, while the material master stores sales views, delivering plant relevance, units of measure, and pricing-related information. A valid pricing condition is maintained so that the order value is automatically determined during order entry.

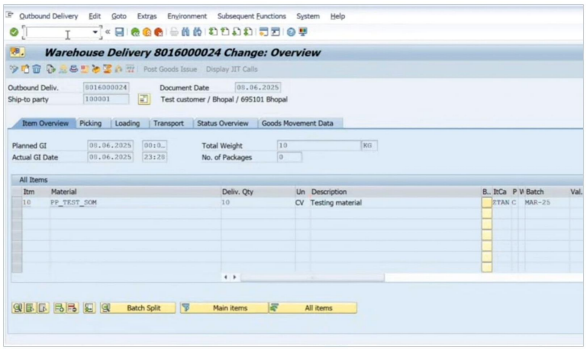


Sales Order Creation (VA01)

The screenshot shows order entry with customer number, requested delivery date, material code, and order quantity. SAP calculates the net value automatically once the item is entered, proving that master data and pricing setup are functioning correctly.

Figure 2. Sales order created with customer, material, quantity, and system-derived net value.

4.2 Delivery Processing and Goods Issue Readiness



Outbound Delivery (VL01N/VL02N)

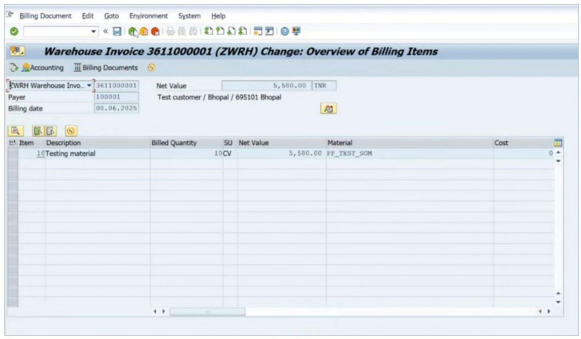
The outbound delivery is created from the order. The document captures shipping-relevant details such as ship-to party, planned goods issue date, delivery quantity, batch, and item category. This stage forms the operational basis for picking, loading, and goods issue posting.

Figure 3. Outbound delivery generated for the sales order; this document drives shipping execution.

In a live system, the next operational milestone is Post Goods Issue (PGI), which updates stock and confirms that the material has left the warehouse. Once PGI is completed, the document becomes billing-relevant and can move to invoice creation.

4.3 Billing and Invoice Output

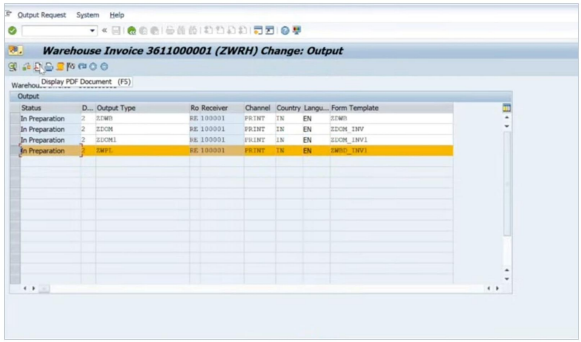
After fulfillment, SAP creates the billing document for the delivered item. Billing converts the logistics execution into a commercial and accounting-relevant invoice. Header data such as payer and billing date, and item data such as billed quantity and net value, are displayed in the invoice overview.



Billing Document (VF01 / VF03)

The invoice overview confirms the payer, billing date, billed quantity, material, and net value. This is the formal sales invoice generated as the final commercial document in the O2C cycle.

Figure 4. Billing document overview showing invoice header and item values.



Invoice Output / Print Control

Output records for the invoice are displayed with channel, receiver, language, and form-template information. This demonstrates SAP output management in the billing process and shows that the invoice can be prepared for print or document generation.

Figure 5. Billing output screen with print channel and invoice form-template details.

4.4 Business Result

- Customer order was captured successfully in SAP SD.
- Delivery document was generated from the order for warehouse execution.
- Goods issue updated inventory and posted accounting entries.
- Billing document was created with correct payer, quantity, and net value.
- Invoice output details were available for print/document handling.
- The project demonstrates end-to-end O2C understanding from order entry to invoice generation.

5. Tech Stack

- SAP ERP / SAP S/4HANA (training environment)
- SAP Sales and Distribution (SD)
- Customer Master, Material Master, Pricing Conditions
- Sales Order Processing, Outbound Delivery, Billing, Output Management

6. Unique Points of the Project

- Covers the complete SD sales cycle instead of only isolated transactions.
- Combines both process explanation and configuration blueprint for a fictitious company.
- Includes actual SAP transaction screenshots for order, delivery, billing, and invoice output.
- Demonstrates the integration between sales execution, shipping activities, and billing.
- Highlights document flow and cross-module (SD-MM-FI) integration.

7. Future Improvements

- Add inquiry and quotation steps before order creation.
- Include full PGI and document-flow screenshots for even deeper traceability.
- Extend the project with returns processing, credit memo request, and invoice correction request.
- Add Financial Accounting linkage and accounting-document screenshots for complete SD–FI integration.

8. Conclusion

This capstone project successfully demonstrates a complete Order-to-Cash cycle in SAP SD for a fictitious wholesale distribution company. The report shows how SAP uses structured organizational data, master data, sales processing, delivery handling, and billing control to manage a customer order from initiation to invoicing. The project aligns with the KIIT helper requirement of preparing a step-by-step end-to-end SAP process document for the chosen specialization topic.

Key Transactions Referenced: VA01 / VA03 (sales order), VL01N / VL02N (outbound delivery), VF01 / VF03 (billing), invoice output display.